



Fixed Income
Asia Chart Alert

Date
26 May 2026

PBoC is pulling out liquidity at a record pace

The PBoC has significantly tightened medium-term liquidity, withdrawing a record RMB1tn via outright reverse repos (ORR)—the largest since the facility's inception in Oct 2024. Despite a modest RMB 100bn net injection through the MLF, this marks the third consecutive month of net withdrawals, culminating in a historic total of over RMB2.5tn.

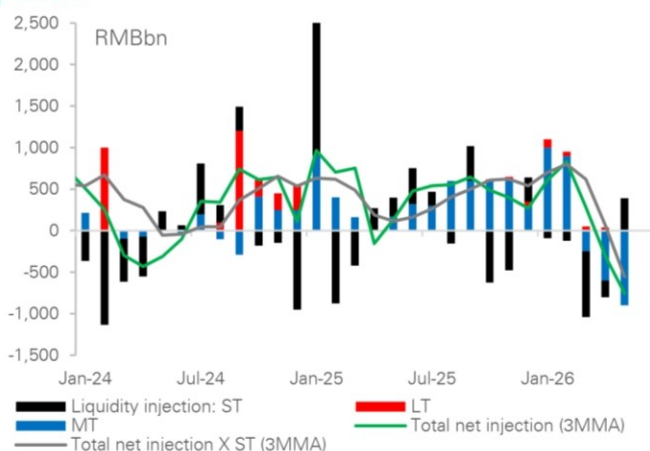
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Concurrently, the PBoC is injecting short-term liquidity via 7-day open market operations (OMO) to maintain market stability. This balancing act is occurring in an environment of ample interbank liquidity, where a widening gap between bank savings and loan growth has kept interbank borrowing rates below the PBoC's benchmark.

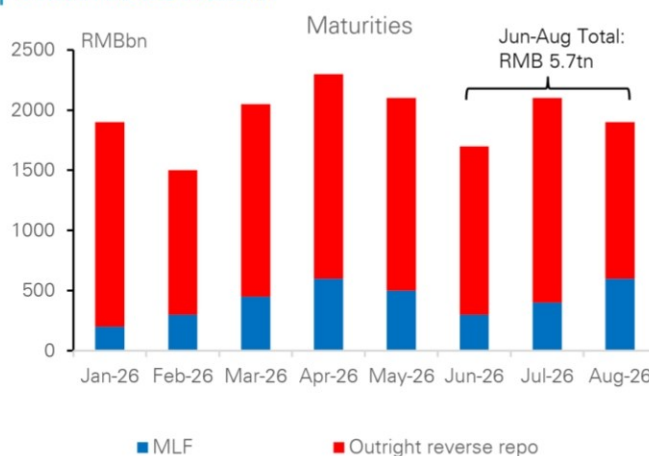
We anticipate continued medium-term liquidity withdrawal in the coming months, driven by two key factors – (a) Policy normalization. The PBoC's shift towards a less accommodative stance. (b) Sizeable maturities to come. Substantial upcoming maturities of both MLF and ORR facilities (RMB5.7tn in total over the next 3 months). This ongoing normalization, combined with a heavy schedule of CGB issuance, is expected to keep the yield curve steep and drive the 7-day repo rate higher.

Figure 1: Largest medium-term liquidity tightening on record



Source: Deutsche Bank Research, CEIC Note: ST liquidity injection is up to May 26

Figure 2: RMB5.7tn upcoming maturities for MLF and ORR in next 3 months



Source: Deutsche Bank Research, CEIC



Appendix 1

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